CHARTERED ACCOUNTANTS ACADEMY

AUDITING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 3 - THE AUDITING AND ACCOUNTANCY PROFESSION IN ZIMBABWE

TABLE OF CONTENTS

Contents

1. INTRODUCTION 71
2. Objective of Auditing and Accountancy profession in Zimbabwe 71
3. Study Material and Relevant ISAs 71
4. Competence Framework expectation 71
5. Examination possibilities 73
6. Assumed Knowledge 73
7. Integration 73
8. Course Notes 74

The Auditing and Accountancy profession in Zimbabwe 74

8.1. Introduction 74
8.2. Public Accountants and Auditors Act Chapter 27:12 74
8.3. Key definitions (section 2) 75
8.4. Registration of individuals as registered auditors (Section 21 par 1) 76
8.5. Registration of individuals as registered public accountants (Section 21 par 2) 76
8.6. Cancellation or suspension of registration (Section 24) 77
8.7. Practicing certificates: (Section 26) 77
8.8. Rules of professional conduct (Section 33) 78
8.9. Regulation of professional standards (Section 44) 78

9. Corporate Governance: King IV report on corporate governance for South Africa 79

9.1. Introduction 79
9.3. The King IV report on Corporate Governance 81
9.4. Fundamental Concepts 81
9.5. Governing Body's Primary Governance Role and Responsibilities 81
9.6. The underpinning philosophies of Kind IV 82
9.7. Distinguishing features of King IV 82
9.8. Part 3 - King IV application and disclosure 82
9.9. Part 5 – King IV Code on corporate governance 84
9.10. Part 6- Sector Supplements 91

10. QUESTION ON CORPORATE GOVERNANCE 91

1. INTRODUCTION

This study unit focuses on obtaining an understanding of how the auditing and accountancy profession is structured and regulated in Zimbabwe. In the study unit we will also focus on the King IV report on corporate governance and the National Code on Corporate Governance Zimbabwe.

2. Objective of Auditing and Accountancy profession in Zimbabwe

After studying this study unit, you should be able to:

- Understand the difference between NCCGZ and King IV report on governance.
- Demonstrate an understanding of the characteristics of good corporate governance
- Demonstrating an understanding of the concepts and recommendations addressed in the King IV code on corporate governance.
- Applying the principles in King IV in providing appropriate recommendations regarding practical aspects of corporate governance.
- Demonstrate an understanding of the concepts and recommendations addressed in the King IV code on corporate governance.
- Applying the principles in King IV in providing appropriate recommendations regarding practical aspects of corporate governance.

3. Study Material and Relevant ISAs

- CAA Applied Auditing and Governance AUD 402 Module 2
- Public Accountants and Auditors Act (Chapter 27:12)
- King IV report on Governance for South Africa 2016
- National Code on Corporate Governance Zimbabwe

4. Competence Framework expectation

CORE COMPETENCE	LEVEL	A CANDIDATE SHOULD BE ABLE TO
Evaluates the entity's governance structure	X	• Understand and explain the components of the entity's governance structure (e.g. board of directors, audit committee) • Understand the governance structures within the entity related to sustainability • Explain to stakeholders the primary characteristics of good governance (i.e. discipline, transparency, independence, accountability, responsibility, fairness, social responsibility) • Evaluate an entity's governance structure and identifies areas needing improvement (gap analysis)

Understands the leadership processes of the board or other governing body	A	• Understand the importance of the leadership processes implemented by the board or other governing body Examples of processes include: • Implementation and maintenance of an effective stakeholder engagement process which includes regular feedback from key stakeholders • Keeping board members fully informed on the changing dynamics of the operating environment, etc. • Conducting effective discussion, analysis, synthesis and decision making based on accurate and timely information • Building an open and constructive relationship between the board and management • Evaluating relationships and performance of external advisors, e.g. lawyers, actuaries, auditors • Reviewing the entity's strategic direction on a regular basis and assessing performance through on-going monitoring
Evaluates the audit and risk committees' roles in governance	X	Evaluate whether the audit and risk committees have satisfactorily performed their duties, as – • recommended in terms of the King Report on Governance for South Africa (King IV Report) and the National Code on Corporate Governance Zimbabwe Identify any further duties required in terms of the entity's audit and risk committees' charter; • evaluate the appropriateness of such duties in relation to the effectiveness of the audit and risk committees; and evaluate whether these duties have been satisfactorily performed
Evaluates the internal audit function's role in governance	X	Evaluate whether the internal audit function of an entity is effective in terms of – • its organisational status (including its 'independence') • the scope of its work whether reported findings are acted upon

5. Examination possibilities

Highly examinable in a corporate governance questions.

6. Assumed Knowledge

Basic knowledge of King IV, National Code on Corporate Governance and Public Accountants and Auditors Act is assumed knowledge which you should already have at CTA level.

7. Integration

This topic integrates with Code of Professional Conduct and King IV and National Code of Corporate Governance.

8. Course Notes

The Auditing and Accountancy profession in Zimbabwe

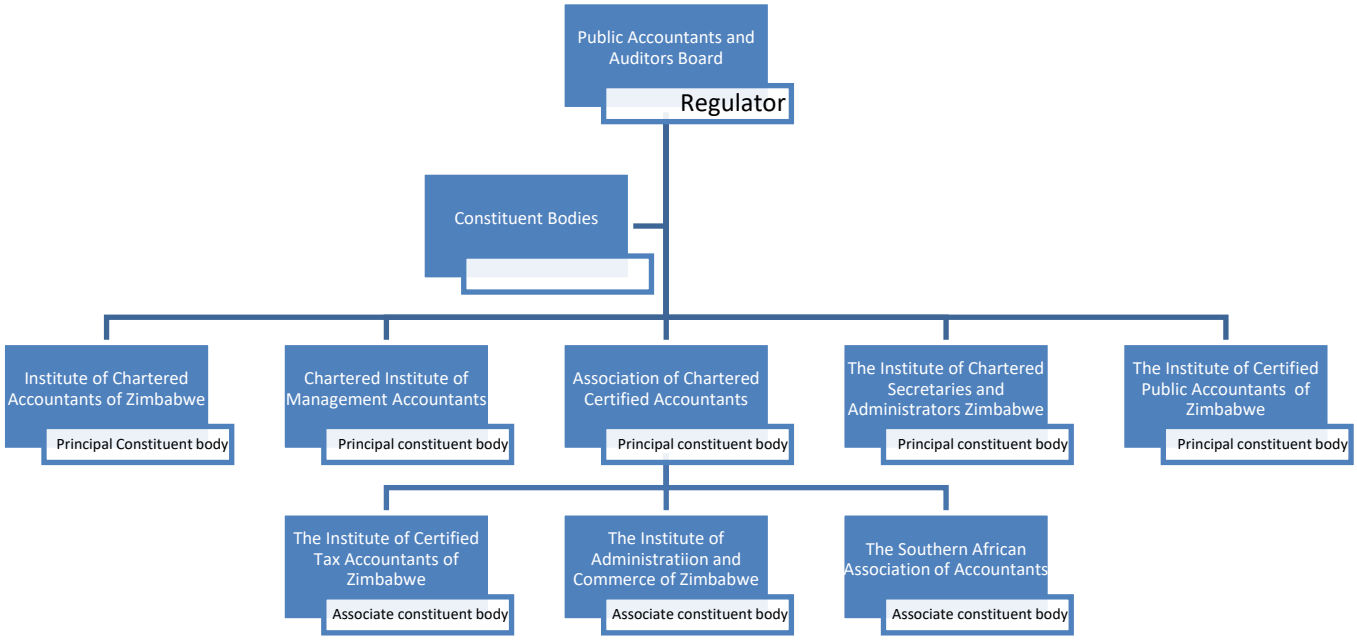
8.1. Introduction

The auditing and accountancy profession in Zimbabwe is regulated by the Public Accountants and Auditors Board (PAAB), in terms of the Public Accountants and Auditors Act Chapter 27:12. On the other hand the Institute of Chartered Accountants of Zimbabwe (ICAZ) was incorporated in terms of the Chartered Accountants Act Chapter 27:02.

Objectives

- Understand the requirements of the Public Accountants and Auditors Act in respect of registration and regulation of public accountants and auditors.

Structure of the accountancy profession in Zimbabwe



8.2. Public Accountants and Auditors Act Chapter 27:12

Objectives of the Act

a. to consider and determine applications for registration in terms of Part III;

b. to maintain the Registers;
c. to issue practicing certificates to registered persons in terms of Part IV and, in accordance with that Part, to cancel or suspend such certificates;
d. to define and enforce ethical practice and discipline among registered persons;
e. to encourage co-operation between the constituent bodies in matters of common interest;
f. to take such steps as appear to the Board to be necessary or desirable to advance the standing and effectiveness of the accountancy profession in Zimbabwe;
g. to represent the views of the accountancy profession on national, regional and international issues;
h. to evaluate and monitor the standards of qualifying examinations, courses and training set or offered by the constituent bodies;
i. to evaluate examinations and training courses of foreign institutions with a view to making recommendations to the constituent bodies;
j. to promote the standardization of qualifying examinations on common subjects;
k. to take such steps as appear to the Board to be necessary to provide for the manpower requirements of the accountancy profession in Zimbabwe.

8.3. Key definitions (section 2)

Accountancy profession	denotes the occupation of those persons registered as general accountants, tax accountants, public accountants or public auditors;
Audit	The verification or certification of financial statements, financial transactions, books, accounts or records;
Public accountant	Means a person who, upon registration as a public accountant, is qualified to offer for hire or reward public accountancy services to any person, including a public company or statutory
Public auditor	Means a person who, upon registration as a public auditor, is qualified to offer for hire or reward auditing services and public accountancy services to any person, including a public company or statutory body;
Public accountancy services	Means all the services that a general accountant and a tax accountant may offer for hire or reward, but does not include auditing services;
General accountant	Means a person who, upon registration as a general accountant, is qualified to offer for hire or reward

	general accountancy services to any person, other than to a public company or statutory body;
Tax accountancy services	means— a) the preparation, submission and certification of a tax return or other return in terms of any one or more of the revenue laws; b) the doing of any other thing required to ensure compliance with a revenue law.
Non-independent accountancy professional	Means an individual qualified as a public accountant, public auditor, general accountant or tax accountant, who— a) does not practise as such by himself or herself, or in partnership or association with other persons; and b) is employed or retained to render any of the services of a public accountant, public auditor, general accountant or tax accountant.

8.4. Registration of individuals as registered auditors (Section 21 par 1)

A person shall be qualified for registration as a public auditor if he or she is a member in good standing of:

a) The Institute of Chartered Accountants of Zimbabwe; or
b) The Zimbabwe branch of the Chartered Association of Certified Accountants incorporated by Royal Charter in the United Kingdom, and— holds an auditing practicing certificate issued in the United Kingdom and recognized by the Board; and has passed examinations approved for the purpose of this section by the Board in consultation with the Zimbabwe branch of the Chartered Association of Certified Accountants incorporated by Royal Charter in the United Kingdom; or
c) The Institute of Certified Public Accountants of Zimbabwe, a locally incorporated company limited by guarantee; or
d) any other body representing the accountancy profession that is prescribed by regulations made under section forty-four

8.5. Registration of individuals as registered public accountants (Section 21 par 2)

A person shall be qualified for registration as a public accountant if he or she is a member in good standing of any principal constituent body.

The PAAB may refuse registration of an individual if:

i. He or she has been adjudged or otherwise declared insolvent or bankrupt in terms of a law in force in any country, and has not been rehabilitated or discharged; or

ii. He or she has made an assignment to or arrangement or composition with his or her creditors in terms of a law in force in any country, and the assignment, arrangement or composition has not been rescinded or set aside; or

iii. Within the period of 5 years immediately preceding his application for registration—

- he or she has been convicted inside or outside Zimbabwe of a criminal offence which, in the opinion of the Board, is of a disgraceful or dishonorable nature; or he or she has behaved in a manner which, in the opinion of the Board, is of a disgraceful or dishonorable nature; or

iv. He or she has been certified either inside or outside Zimbabwe to be mentally disordered or defective or of unsound mind in terms of the Mental Health Act [Chapter 15:12] or an equivalent law in a foreign country, and the certification remains in force.

8.6. Cancellation or suspension of registration (Section 24)

The board may cancel the registration of a person who:

a) Has ceased to be a member of any constituent body by virtue of whose membership he or she was registered; or
b) Has been adjudged or otherwise declared insolvent or bankrupt in terms of a law in force in any country; or
c) Has made an assignment to or arrangement or composition with his or her creditors in terms of a law in force in any country; or
d) Has been convicted inside or outside Zimbabwe of a criminal offence which, in the opinion of the Board, is of a disgraceful or dishonorable nature; or
e) Is certified either inside or outside Zimbabwe to be mentally disordered or defective or of unsound mind in terms of the Mental Health Act [*Chapter 15:12*] or an equivalent law in a foreign country.

8.7. Practicing certificates: (Section 26)

No person shall practice as a public auditor, public accountant, tax accountant or general accountant, whether directly or indirectly, by himself or in partnership or association with any other person, except in accordance with the terms and conditions of **a valid practicing certificate** which authorizes him to practice as a public auditor, public accountant, tax accountant or general accountant.

The PAAB has the mandate to issue practicing certificates in terms of section 28.

NB!!! Non-independent accountancy professionals are not required to obtain a practicing certificate

8.8. Rules of professional conduct (Section 33)

The PAAB has prescribed rules of professional conduct to be observed by registered persons as found in the Public Accountants and Auditors (Professional Conduct) By-laws, 1997.

8.9. Regulation of professional standards (Section 44)

The PAAB has the mandate of issuing regulations prescribing the following:

a) Financial Reporting and Auditing standards
b) The minimum qualifications, competency standards and requirements for registration of public auditors, public accountants, tax accountants and general accountants.
c) The competencies, qualifications, rights and privileges of persons registered as general accountants, tax accountants, public accountants or public auditors.
d) The criteria upon which the Board will recognize or withdraw recognition from educational qualifications or training programmes offered or be offered in connection with the accountancy profession at any educational institutions or by any principal or associate constituent body or by any other body purporting to represent the accountancy profession;
e) The conduct of audit quality monitoring, practice reviews and inspections by the Board;

9. Corporate Governance: King IV report on corporate governance for South Africa

9.1. Introduction

Corporate governance is a concept which was born in the late 1980s mainly because of the separation of ownership of companies and control thereof. As companies grew there was increased incidences of where owners of companies were no longer part of the management of companies. The responsibility of control therefore shifted to the directors of companies.

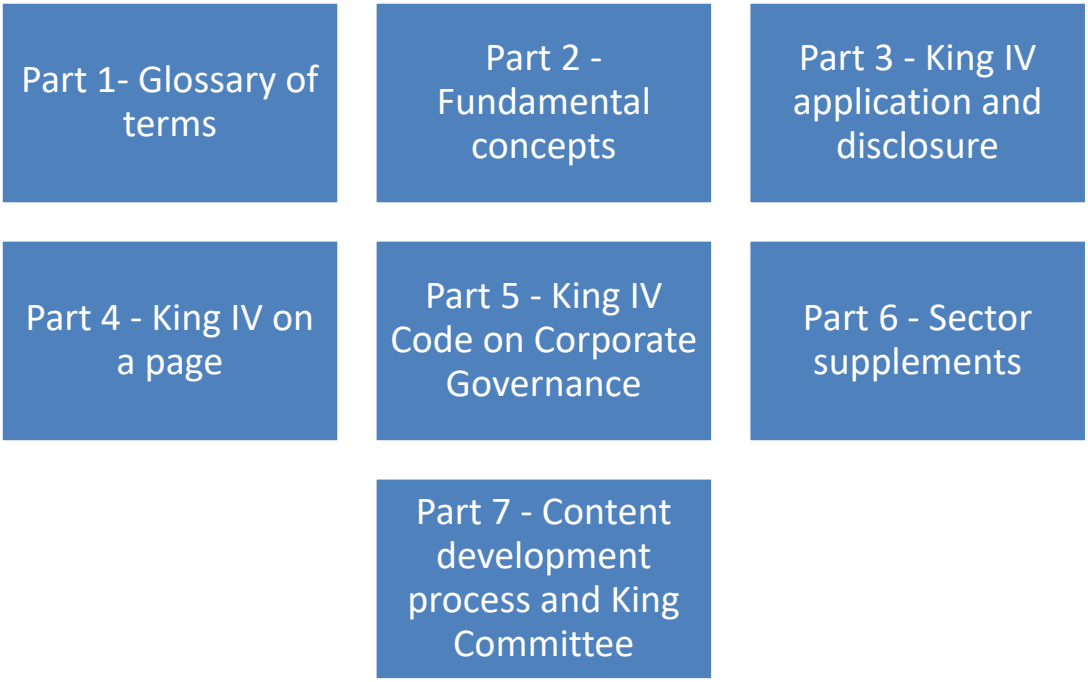
9.2. Key Differences between King 111 and King IV

Fewer principles	The **75 principles** contained in King III have been reduced to **17 principles** under King IV. This reduction in principles has been achieved by the restructuring of the report; however, most of the substantive principles of King III have been retained, in some form, in King IV.
"Apply and explain"	King IV introduces a shift from the "apply or explain" approach contained in King III to the "apply and explain" approach contained in King IV. **Implication** This means that organisations will be required to implement the principles, that is, take measures to achieve the principles, **but also to explain measures and their results**. The "apply and explain" approach should, by giving stakeholders more information in respect of the corporate governance of organisations, facilitate meaningful stakeholder participation.
Introduction of sector supplements	Part 6 of King IV contains sector supplements applicable to municipalities, non-profit organisations, retirement funds, small and medium enterprises and state-owned entities.
Remuneration	Whilst King III included provisions pertaining to the remuneration policies of organisations, King IV addresses the issue in a more succinct manner by requiring that remuneration policies specifically include arrangements towards ensuring that the remuneration of executive management is fair and responsible in the context of overall employee remuneration in the organisation.
Independence of directors	Whereas King III provided an exhaustive set of criteria in the classification of a person as "independent" non-executive directors, King IV has moved away from the position in King III and instead contains a list of "indicators" which the governing body should, holistically, and on a substance-over- form basis, consider when assessing the independence of a member of the governing body for purposes of categorisation.
Enhanced disclosure	The disclosure requirements introduced by King IV are broader than those contained in King III.

Social and ethics committee	Whilst King III recognised that certain categories of companies were required to establish a social and ethics committee in terms of the Companies Act (SA Specific), King IV goes further in **that it encourages** the establishment of a social and ethics committee, even in instances where an organisation is not legally required in terms of the Companies Act (SA Companies Act) to do so.
Group governance framework	Whilst King III required that a governance framework be agreed between the group and its subsidiary boards, King IV goes further by placing a responsibility on the board of a holding company.
Information and technology	Whereas, King III recognised the concept of information technology – as one source of value creation – King IV separates information and technology, which may overlap in certain instances, but which constitute two distinct sources of value creation in terms of King IV, and in terms of which separate risks and opportunities may exist.
Organisational ethics	King IV introduces the requirement that the governing body should ensure that the codes of conduct and ethics policies provide for arrangements that familiarise employees and other stakeholders with the organisation's ethical standards.
Responsible investing	In recognition of the rights and influences of institutional investors, King IV requires that the governing body of an institutional investor assumes responsibility for governing responsible investing by the institutional investor.

9.3. The King IV report on Corporate Governance

The king IV report on Corporate Governance was released on 1 November 2016 and consists of seven parts:



9.4. Fundamental Concepts

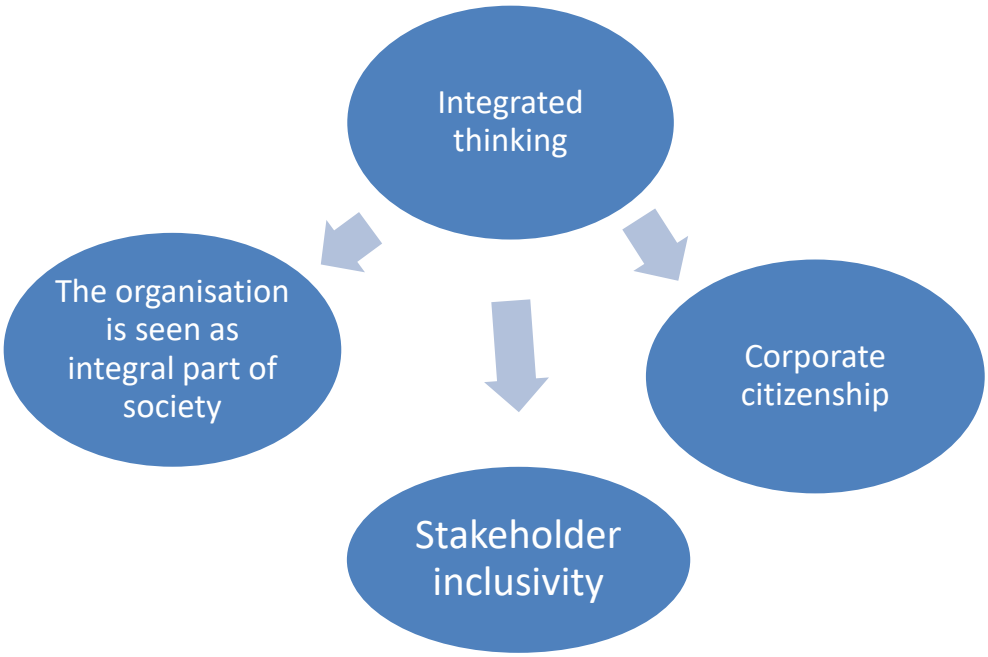
Part 2 of the report contains the fundamental concepts and philosophy on which King IV is based, as well as the distinguishing features of King IV. Corporate Governance is defined in King IV as the exercise of **ethical and effective** leadership by the governing body towards the achievement of the following governance outcomes:

- Ethical culture;
- Good performance;
- Effective control; and
- Legitimacy.

9.5. Governing Body's Primary Governance Role and Responsibilities

- Steering and setting strategic direction;
- Approves policy and planning that give effect to the strategy and the set direction;
- Oversees and monitors implementation and execution by management; and
- Ensures accountability for organizational performance by means of, among others, reporting and disclosure.

9.6. The underpinning philosophies of Kind IV



9.7. Distinguishing features of King IV

- An outcome-based approach is advocated. Achieving the principles, and therefore ultimately good governance, optimizes the organisation to realize the intended governance outcomes of ethical culture, good performance, effective control and legitimacy.
- Clear differentiation is made between principles and practice. Principles are achieved by mindful consideration and application of the recommended practices.
- Drafted to apply to all organizations, regardless of their form of incorporation or size. Reference to companies and board of directors has been replaced with references to organizations and governing bodies.
- Proportionality is explained and advocated. Practices are meant to be scaled in accordance with proportionality consideration particular to the organisation. These include size of turnover and workforce, resources and extent and complexity of activities.
- “Apply and explain” principle as opposed to an “Apply or explain” principle in King III.

9.8. Part 3 - King IV application and disclosure

9.8.1. Legal status of King IV

King IV is a set of voluntary principles and leading practices. However different bodies may prescribe compliance with King IV.

9.8.2. Scope of application of King IV

The King IV Report aspires to apply to all organizations, regardless of their form of incorporation. This is achieved by:

- Phrasing principles and governance outcomes such that they embody the essence of the code;
- Provision of supplements for specific sectors; and
- Advocating implementation of King IV on a proportional basis, recognizing that the practices as recommended in the Code are positioned at the level of leading practices, and that it may not be suitable and appropriate for all organizations.

9.8.3. Disclosure on application of King IV

The application regime for King IV is "apply and explain":

Apply principles	**Explain practices**
The principles are basic and fundamental to good governance, and application is therefore assumed.	Explanation should be provided in the form of a narrative account, regarding practices that demonstrate application of the principle.

9.8.4. What should be disclosed

Specific disclosure recommendations are included under each principle of the King IV code. The recommendations are intended as guidance and as a starting point for disclosure. The following approach is suggested regarding the disclosure on the application of King IV:

- As a starting point, referencing all principles in the Code;
- In respect of each principle, explain in narrative form the matters that the King IV Code recommends for specific disclosure under each principle;
- Consider the recommended practices associated with the principle that is not already included in the narrative. Expand the explanation to these other practices only if necessary, to further demonstrate how their implementation supports the achievement of the principle.
- Assess the completed disclosure and consider whether it will enable the users of the report to make an informed assessment of the quality of governance in so far as the application of the particular principle. Make enhancements if necessary.
- If applicable and necessary, explain what alternative practices (practices other than those recommended by the Code) have been implemented, and how its implementation support the achievement of the practices.

9.8.5. Where should disclosures be made?

King IV states that the governing body has the discretion to determine where the disclosures be made. Options include integrated report, sustainability report, social and ethics committee report and other online or printed information or reports.

It is recommended that King IV disclosures be updated at least annually.

9.9. Part 5 – King IV Code on corporate governance

Principle	Recommended practice
Leadership	
Principle 1*:* The governing body should lead ethically and effectively.	Members of the governing body should individually and collectively cultivate the following characteristics and exhibit them in their conduct: a. Integrity b. Competence c. Responsibility d. Accountability e. Fairness f. Transparency
Organisational ethics	
Principle 2: The governing body should govern the ethics of the organisation in a way that supports the establishment of an ethical culture.	▪ Approve code of conducts and ethics policies; ▪ disclose organizational ethics in relation to the requirements in the code ▪ Refer to the disclosure requirements in the code
Responsible corporate citizenship	
Principle 3: The governing body should ensure that the organisation is and is seen to be a responsible corporate citizen	Examples of recommended practices: ▪ The governing body to ensure that the values, strategy and conduct of the organisation are congruent with it being a responsible corporate citizen; ▪ Compliance with the law, leading standards and adherence to its own code of conduct and policies.
Strategy and performance	
Principle 4: The governing body should appreciate that the organisation's core purpose, its risks and	It is recommended that the governing body should: ▪ Set the direction, purpose and strategy of the organisation; ▪ Delegate to management the formulation of the strategy; ▪ Approve the strategy;

opportunities, strategy, business model, performance and sustainable development are all inseparable elements of the value creation process.	▪ Approve management policies and plans, including key performance measures and targets; ▪ Delegate the implementation of plans to management; and ▪ Oversee the implementation of the strategy and plans by management.
Reporting	
Principle 5: The governing body should ensure that reports issued by the organisation enable stakeholders to make informed assessments of the organisation's performance, and its short, medium and long-term prospects.	It is recommended that the governing body should: ▪ Assume responsibility for the organisation's reporting by setting the direction and approach to be followed; ▪ Approve the reporting frameworks; ▪ Ensure that all reports comply with legal requirements and that they meet the legitimate and reasonable expectations of material stakeholders; ▪ Ensure that an annual integrated report is published either as a standalone report or as part of another report; ▪ Approve management's bases for materiality; ▪ Ensure the integrity of external reports; and ▪ Ensure that the disclosures required by the King IV Code, integrated reports, annual financial statements and other external reports are available on the organisation's website and other appropriate media.
Primary role and responsibilities of the governing body	
Principle 6: The governing body should serve as the focal point and custodian of corporate governance in the organisation.	Key recommendation: Governing body should: ▪ Steer the organisation and set its strategic direction. ▪ Approve policy and planning; ▪ Have a charter; ▪ Approve protocol on: o Members obtain independent professional advice at the cost of the organisation; o Procedures to be followed by non-executive members for requesting documentation and setting up meetings with management
Principle 7: The governing body should comprise the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance role and responsibilities	Key recommendations: **Composition:** ▪ Key factors to be considered in determining the number of members of the governing body: o Appropriate mix of knowledge, skills and experience o Appropriate mix of executive, non-executive and independent non-executive members; o Enough members to properly constitute committees of the governing body;

objectively and effectively.	○ Need to secure a quorum at meetings; ○ Regulatory requirements ▪ Majority of non-executive members, most of whom should be independent. ▪ CEO and at least one other executive should be members of the governing body. ▪ Have targets for race and gender representations. ▪ Periodic, staggered rotation of members. **Nomination and appointment of members** ▪ Nomination to be approved by the governing body. ▪ Process should be formal. ▪ Non-executive members to provide details of other commitments before being nominated. ▪ After election, a formal letter of appointment should be issued. ▪ Provide induction, mentorship and professional development for members. **Independence and Conflicts** ▪ Annual declaration by members of financial interests and related parties. ▪ Declaration of conflict of interest at the beginning of each meeting. ▪ Factors to be considered in assessing independence (refer to page 52 of King IV). ▪ Independence assessment to be done every year after the 1st nine years for independent non – executive members. **Chair of the governing body** ▪ Should be an independent non-executive member. ▪ CEO should not also chair the governing body. ▪ Retired CEO should not become chair until expiry of a cooling off period of 3 years. ▪ Chair cannot be a member of the audit committee. ▪ Chair cannot also chair the remuneration and the social and ethics committees however the chair can be a member of the remuneration committee. ▪ Should be a member and may chair the nominations committee.
Committees of the governing body	
Principle 8: The governing body should ensure that its arrangements for delegation within its own structures	Key Recommendations: **General** ▪ Committees to have formal terms of reference which are reviewed annually by the governing body. ▪ Minimum contents of the terms of reference (refer to par 43 of the code).

promote independent judgement and assist with balance of power and the effective discharge of its duties.	▪ Each committee to have a minimum of three members. ▪ The governing body is still accountable for its responsibilities delegated to committees/members. **Audit Committee** ▪ Organisations that issue audited financial statements should consider establishing an audit committee. ▪ Roles to include oversight over the organisation's assurance functions and integrity of financial statements. ▪ Members should have the necessary financial literacy, skills and experience to execute their duties effectively. ▪ All members should be independent non-executive members of the governing body. ▪ Should meet annually with internal and external auditors without management being present. ▪ Refer to par 59 of the code for disclosure requirements. **Nominations committee** ▪ Responsibilities to include: o Nominating, electing and appointing members of the governing body. o Succession planning. o Performance evaluation of the governing body ▪ All members to be non-executive members of the governing body and majority should be independent. ▪ Refer to par 50 of the code for disclosure requirements **Risk committee** ▪ The committee should have executive and non-executive members, with a majority being non-executive members of the governing body. ▪ Refer to par 50 of the code for disclosure requirements **Remuneration committee** ▪ All members to be non-executive with a majority being independent non-executives. ▪ Committee should be chaired by independent non-executive member. ▪ Refer to par 50 of the code for disclosure requirements **Social and ethics committee** ▪ Should have executive and non-executive members of the governing body with a majority being non-executive.

	▪ Refer to par 50 of the code for disclosure requirements
Evaluations of the performance of the governing body	
Principle 9: The governing body should ensure that the evaluation of its own performance and that of its committee's, it's chair and its individual members support continued improvement in its performance and effectiveness.	Key Recommendations: ▪ Independent non-executive members to lead the evaluations. ▪ Formal evaluation process to be followed and evaluations to be done at least every two years. ▪ Refer to par 75 of the code for disclosure requirements
Appointment and delegation to management	
Principle 10: The governing body should ensure that the appointment of, and delegation to management contribute to role clarity and the effective exercise of authority and responsibilities.	Key Recommendations: **CEO** ▪ Should be appointed by the governing body. ▪ Accountable and reports to the governing body. ▪ Should not be a member of the remuneration, audit or nomination committees. ▪ CEO to agree with the governing body before taking up membership of governing bodies outside the organisation. ▪ The governing body to evaluate the performance of the CEO at least annually.
Risk governance	
Principle 11: The governing body should govern risk in a way that supports the organisation in setting and achieving its strategic objectives.	Key recommendations: The governing body should ▪ Assume responsibility over risk and approve policy on risk; ▪ Evaluate and agree the risks it is prepared to take ▪ Delegate the implementation of risk management to management; ▪ Oversee the risk management process; ▪ Consider receiving independent assurance on the effectiveness of risk management; and ▪ Make the necessary disclosures regarding risk and opportunity.
Technology and information governance	
Principle 12: The governing body should govern technology and information in a way	Key recommendations: The governing body should: ▪ Set the approach for technology and information governance and that it approves the policy; ▪ Delegate to management effective technology and information implementation;

that supports the organisation setting and achieving its strategic objectives.	▪ Oversee the results of implementation by management; ▪ Oversee management of information and technology; ▪ Consider receiving independent assurance on the effectiveness of technology and information; and ▪ Make necessary disclosures regarding technology and information.
Compliance governance	
Principle 13: The governing body should govern compliance with applicable laws and adopted, non-binding rules, codes and standards in a way that supports the organisation being ethical and a good corporate citizen.	Key recommendations: The governing body should: ▪ Approve policy on compliance; ▪ Consider need to receive periodic independent assurance on the effectiveness of compliance management
Remuneration governance	
Principle 14: The governing body should ensure that the organisation remunerates fairly, responsibly and transparently to promote the achievement of strategic objectives and positive outcomes in the short, medium and long term.	Key recommendations: ▪ The governing body sets an organisational wide remuneration policy; ▪ Disclosures takes place via a remuneration report containing background statement, an overview of the main provisions of the remuneration policy and an implementation report; and ▪ Shareholders be given an opportunity to vote on remuneration policy and implementation.
Assurance	
Principle 15: The governing body should ensure that assurance services and functions enable an effective control environment, and that these support the integrity of information for	Key recommendations: ▪ A combined assurance model should be applied which should incorporate and optimize all assurance functions and services; ▪ Should set the direction of the internal audit arrangement; ▪ Governing body should approve an internal audit charter;

internal decision-making and of the organisation's external reports.	▪ Should ensure that the position of the chief audit executive (CAE) operates independently from management. ▪ The governing body should approve the appointment of the CAE including employment contract and remuneration. ▪ CAE to have access to the chair of the audit committee; ▪ CAE should be invited to attend executive meetings; ▪ CAE to report to the chair of the audit committee; ▪ The governing body to have primary responsibility of removing the CAE. ▪ The internal audit function to be subject to an independent quality review at least once every 5 years. ▪ The CAE to confirm annually that internal audit conforms to a recognised industry code of ethics.
Stakeholders	
Principle 16: In the execution of its governance role and responsibilities, the governing body should adopt a stakeholder-inclusive approach that balances the needs, interests and expectations of material stakeholders in the best interest of the organisation over time.	Key recommendations: The governing body should: ▪ Approve policy on how stakeholder relationships are managed; ▪ Exercise on going oversights of stakeholder relationship management. ▪ All directors should attend the AGM to respond to shareholder queries; ▪ Ensure the external audit engagement partner attends the AGM; ▪ Ensure equitable treatment of shareholders and minority shareholders are adequately protected; ▪ Minutes of AGM's of publicly listed companies should be made publicly available.
Responsibilities of institutional investors	
Principle 17: The governing body of an institutional organisation should ensure that responsible investment is practiced by the organisation to promote the good governance and the creation of value by the companies in which it invests.	Key recommendations: The governing body should ▪ Approve investment policy; ▪ Ensure service providers are held accountable for complying with formal mandates on investment management;

9.10. Part 6- Sector Supplements

This part of the report contains six sector supplements which illustrate how the King IV code should be interpreted and applied in different contexts, situations and legislative regimes. Sector supplements are not provided for all sectors or industries and organizations for which specific supplements are not provided are encouraged to consider the supplement most closely aligned to its organizational structure.

Supplements have been provided for the following sectors:

- Municipalities;
- Non-profit organizations;
- Retirement funds;
- Small and medium enterprises; and
- State-owned entities.

10. QUESTION ON CORPORATE GOVERNANCE

Following your recent assignment to act as the audit senior on the 2021 audit of GoodLife Healthcare (Pvt) Ltd ('GoodLife'), the engagement partner Nailah Kunashe (NK) met with you to discuss the planning for this audit and assist her with the review of a couple of working papers already completed by the audit team whilst you were away on study leave preparing for your CTA test 1.

The audit firm which you work for, SWAT Chartered Accountants (SCA), has been the Registered Auditor of GoodLife for the past three years, and after the re-appointment of the

firm at the company's most recent annual general meeting, a team was assigned during March 2021 to commence with the planning of the audit for the financial year ended 31 March 2021.

To date the following workpapers and information has been provided in respect of Goodlife.

- Understanding of the entity and its environment (A-100);
- Extract of the 2021 draft financial statements;
- Stock Count Instructions; and
- Goodlife's revenue system description (A-320);

At the request of GoodLife, the audit team only spent two weeks at the client in March 2021, because there were staff constraints in the accounting department and the client's focus was on preparing the 2021 annual financial statements. However, this team has now been assigned to another client, and hence a new team (including you) has been assigned to this audit.

As the client would like the audit report issued by mid-May 2021, NK indicated that it is essential that the audit team start soon with the assessment of the risk of material misstatement. NK informed you that she wanted you to prioritise the risk assessment over significant classes of transactions and account balances, as the audit fee overruns in the previous audit were the result of the risk assessment being 'high' for a number of assertions and GoodLife was not particularly happy with this.

During a recent meeting, GoodLife also indicated in passing that there are certain additional services that it would like SCA to perform (but without giving any further detail), and so a meeting was going to be set up at a future date to get a better understanding of what is envisaged. NK informed you that it would be fantastic if we could be of assistance, but the firm may have staffing constraints until the end of June 2021 which may affect the firm's ability to taking on any new work.

Client: Goodlife Healthcare (Pvt) Ltd	**Year end:** 31 March 2021	**A-100**
Prepared by: C Moyo	**Date:** 15 March 2021	
Reviewed by:	**Date:**	
Subject: Understanding of the entity and its environment		

1. COMPANY HISTORY

GoodLife was founded in 1997 by Dr Michael Kennedy and his family trust remains a key shareholder. At that time the vision for GoodLife was to establish a private hospital group providing high-quality care for patients in the Harare Province.

2. NATURE OF BUSINESS

GoodLife provides acute care at its two hospitals in the Harare Avenues and at another situated in Borrowdale. The company has a total of 345 general ward beds and 24 intensive care unit (ICU) beds. The focus is on providing services to patients who belong to medical aid schemes and require inpatient care. Approximately 75% of patients admitted in the 2021 financial year ('FY2021') required surgery at GoodLife's hospitals.

The three hospitals (including the pharmacies located in each) operate as divisions of the same company and are not incorporated as separate companies.

The private hospital industry is interesting in that patient relationships are initially indirect. Doctors refer patients for treatment at hospitals and hence admission levels are influenced by relationships with doctors. GoodLife does not employ doctors but instead leases office space in its hospitals to general practitioners and medical specialist doctors (doctors who have completed advanced education and practical training in specific medical areas). Pathology and radiology practices also lease space in GoodLife's facilities.

GoodLife has relationships with all the major medical aid scheme administrators in Zimbabwe who administer medical aid schemes. Medical aid scheme administrators have the power to influence where patient care occurs. Tariffs are negotiated annually with these administrators regarding charges for the forthcoming year for care to be provided to insured patients. The vast majority of patient bills are settled directly by medical aid schemes and hence relationships with medical aid scheme administrators are critical to the on-going success of the company. GoodLife is fortunate that it has a well-established reputation with most medical aid schemes for providing high-quality healthcare services while keeping medical costs under control.

3. Operating Environment and Market dynamics

The operating environment in the country has continued to be affected by persistent cash shortages and the unavailability of foreign currency. The foreign currency shortages have especially affected GoodLife's pharmacies as they import most of their drugs from South Africa and India and, at times, GoodLife has had to request some of their patients to source drugs on their own. The continued non-performance of the Zimbabwean economy has put pressure on the disposable income of most households. Also, a recent trend that has been noted in the health care sector is that of medical aid scheme's opening their own hospitals and pharmacies.

4. Directors

The directors of GoodLife are as follows:

Non-executive directors	**Beneficial interest? ***	**Length of service**
Dr Michael Kennedy (Chairman)	Yes*	21 years
Dr Harlan Mako	No	15 years
Dr Douglas Ndebele	Yes*	8 years
Dr Joseph Gura	Yes*	8 years
Dr Julius Sexwale	No	8 years
Dr Precious Njeke	Yes	4 years
Ms Nicola Inkqayi**	No	3 years
Mr Peter Mabohlale**	No	3 years
Executive directors	**Beneficial interest? ***	**Length of service**
Mr Brendan Malcolm (CEO)	No	1 year
Ms Loice Gatsi (CFO)	No	1 year

* Owns shares directly or indirectly in GoodLife.

** Ms Nicola Inkqayi and Mr Peter Mabohlale are shareholders of DOC who represent DOC on the board of directors of GoodLife. They do not own any ordinary shares directly in GoodLife.

From discussions with Brendan he indicated to the audit partner Nailah that they would want to adopt and fully comply with the National Code on Corporate Governance Zimbabwe and would welcome any assistance they can get to ensure that they achieve this objective within the next 2 years.

Extract of 2021 draft financial statements

GoodLife (Pvt) Ltd Statement of financial position as at 31 March 2021

	Notes	**31 March 2021 (ZWL)**	**31 March 2020 (ZWL)**
Non-Current Assets			
Medical and Other equipment	**2**	13,500,000	9,250,000
Motor Vehicles		850,000	960,000
Intangible assets	**3**	1,854,263	-
Bonds	**4**	1,200,000	1,154,000
		17, 404,263	**11,364,000**
Current Assets			
Assets held for sale	**5**	115,000	-
Inventories	**6**	1,547,800	875,000
Trade receivables	**7**	2,437,349	1,245,600
Other receivables		156,000	-
Cash and cash equivalents		890,678	1,234,000
		5,146,827	**3,354,600**

Notes

1. **Basis of preparation**
   The company's financial statements have been prepared with policies consistent with International Financial Reporting Standards (IFRS).

2. **Medical and other equipment**
   This balance is made up of the various specialised hospital equipment that is used by GoodLife, with the other equipment mainly made up of furniture and fittings. GoodLife has always measured its medical and other equipment using the cost model as per IAS 16 and accounted for any impairment losses as per the requirements of IAS 36. Included in the equipment balance is a Magnetic Resonance Imaging (MRI) scanning machine which was acquired from India during the current financial year. The total invoice value of the machinery was 100 million Indian Rupees and GoodLife incurred this liability on the 1st of July 2020 when the machinery left the port of Mumbai. The spot exchange rate on that date was USD1: 75.54INR (Indian Rupee). GoodLife was required to settle the invoice amount to the Indian supplier on the 31st of December 2020. To manage its foreign

currency risk GoodLife entered into a 6-month forward exchange contract (FEC) on 1 July 2020, to acquire 100 million Indian Rupees on 31 December 2020 at a forward exchange rate of USD1: 65INR. At 31 December 2020 the spot rate was USD1: 73.06INR. No accounting entries have been processed yet in respect of the FEC.

As a result of the acquisition of this new state of the art MRI machine, old X-ray equipment that had been used by GoodLife for the past 8 years was decommissioned and classified as held for sale, refer to note 4.

3. Intangible Assets

The intangible asset balance is made up of a new enterprise resource planning system (ERP) that was custom build for GoodLife by a software engineering company from South Africa. The total costs billed to GoodLife for the research, development and testing the system amounted to $1,854,263, which equates to the total costs capitalised in the financial statements. The system was brought into use on the 1st of February 2020 and management decided not to account for any amortisation costs for the system for the 2020 financial year, since the system had only been used for 2 months. The new ERP system encompasses the following modules amongst others:

- Billing system;
- Inventory management system;
- Debtors module;
- Patients records system.

4. Bonds

GoodLife invested in two bonds issued by the Reserve Bank of Zimbabwe on behalf of the Zimbabwe central government. The first bond will mature on 30 September 2020 and carries a fixed interest of 7% per annum, with the other bond maturing on 30 September 2023and carries a fixed interest rate of 5% per annum. It is GoodLife's accounting policy to measure all its bonds at amortised cost in terms of IFRS 9.

5. Assets held for sale

Included in assets held for sale is X-ray equipment which was decommissioned after the purchase of the MRI machine referred to in note 2. The X-ray machine had a carrying amount of $160,000 at the date of decommissioning (31 January 2021) and a remaining useful life of 2 years. As at 31 January 2021 the X-ray equipment had a fair value less cost to sell of $115,000 and $108,784 as at 31 March 2021.

6. Inventories

Goodlife's inventory balance is made up of pharmacy stocks and hospital consumables.

7. Trade receivables

It is GoodLife's policy to provide for a flat amount of $130,000 as its provision for credit losses. 40% of the trade receivables balance is made up of amounts owing from patients who are not on medical aid schemes and are self-financing their medication costs.

Required		Marks
c)	Write an email addressed to Brendan Malcolm in which you give him advice on the things they need to address in their board composition to comply with the requirements of the National Code on Corporate Governance Zimbabwe. Base your answer with reference to information provided in Note 4 of W/P A-100. *You are not required to address requirements around board committees in your email.*	8

CAA CTA Level 2&FT 2018 MY

Solution:

c)	**Write an email addressed to Brendan Malcolm in which you give him advice on the things they need to address in their board composition to comply with the requirements of the National Code on Corporate Governance Zimbabwe.** **Base your answer with refence to information provided in Note 4 of W/P A-100.**	**Marks**
	To: brendanmalcolm@goodlife.co.zw From: CTA student@caa.ac.zw Subject: Advice on board composition to be in compliance with the ZIMCODE • You must appoint an independent non-executive chairperson as Dr Michael Kennedy (Chairman) is a non-executive director but is not independent since ○ he owns shares directly or indirectly in GoodLife and ○ has been on the board for 21 years. • Dr Michael must dispose of the shares he owns in Goodlife or you must appoint a new chairman • Majority of board members should be non-executive members, the majority of whom should be independent (at least 60% of the board members should be made up of non-executive members, majority of whom must be independent).	**1** **1** **1** **1** **1** **1**

	• 6 out of 10 directors should be non-executive directors and 4 or more of the 6 directors should be independent. • In your case there are enough non-executive directors, but their length of service might compromise their independence. • Consider having a rotation policy to ensure that the board independence is maintained • You have to hold annual evaluation of independence of board members. • At a minimum there should be two executive directors appointed to the board i.e. the CEO and director responsible for finance; o You have met this requirement. • The board should appoint a Lead Non-Executive Director. I hope you will find this information helpful. Should you have any questions feel free to get in touch. Warm Regards CTA student	**1** **1** **1** **1** **1** **1** **1**
	Other Valid Observations	**1**
Available for part (c)		**10**
Maximum for part (c)		**8**